such, it may be able to raise enough cheap capital to support a good education system and foster a flourishing high-tech industry.

The Cult of the Free Market

Capital and politics influence each other to such an extent that their relations are hotly debated by economists, politicians and the general public alike. Ardent capitalists tend to argue that capital should be free to influence politics, but politics should not be allowed to influence capital. They argue that when governments interfere in the markets, political interests cause them to make unwise investments that result in slower growth. For example, a government may impose heavy taxation on industrialists and use the money to give lavish unemployment benefits, which are popular with voters. In the view of many business people, it would be far better if the government left the money with them. They would use it, they claim, to open new factories and hire the unemployed.

In this view, the wisest economic policy is to keep politics out of the economy, reduce taxation and government regulation to a minimum, and allow market forces free rein to take their course. Private investors, unencumbered by political considerations, will invest their money where they can get the most profit, so the way to ensure the most economic growth – which will benefit everyone, industrialists and workers – is for the government to do as little as possible. This free-market doctrine is today the most common and influential variant of the capitalist creed. The most enthusiastic advocates of the free market criticise military adventures abroad with as much zeal as welfare programmes at home. They offer governments the same advice that Zen masters offer initiates: just do nothing.

But in its extreme form, belief in the free market is as naïve as belief in Santa Claus. There simply is no such thing as a market free of all political bias. The most important economic resource is trust in the future, and this resource is constantly threatened by thieves and charlatans. Markets by themselves offer no protection against fraud, theft and violence. It is the job of political systems to ensure trust by legislating sanctions against cheats and to establish and support police forces, courts and jails which will enforce the law. When kings fail to do their jobs and regulate the markets